

25STCV13236 25STCV13236

County: los-angeles

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Case Number: 25STCV13236 Hearing Date: July 29, 2026 Dept: 309

Superior Court of California

County of Los Angeles

DEPARTMENT 309

TENTATIVE

RULING

CHRISTIAN COLUNGA

vs.

ASSOCIATION RESERVES, INC., et al.

Case

No.: 25STCV13236

Hearing Date: July 29, 2026

Defendant's demurrer is OVERRULED.

On 5/8/2025, Christian Colunga, an individual, on behalf of himself (Plaintiff), initiated this action. On 4/3/2025, Plaintiff filed a first amended complaint (FAC) against Association Reserves, Inc., the Nordlund Revocable Trust, Robert Nordlund, and Cathy Schrader (collectively, Defendants), alleging: (1) declaratory relief; (2) breach of contract; (3) breach of implied covenant; (4) violation of California

Corporations Code section 31000; (5) violation of California Business and Professions Code section 31201; (6) negligent misrepresentation; (7) violation of Business and Professions Code section 17200; (8) injunctive and other relief.

On 4/3/2026, Defendants demurred to Plaintiff's FAC.

Discussion

Defendants argue that each of Plaintiff's causes of action fail as a matter of law.

As to the first cause of action, Defendant contends that Plaintiff does not allege he ever paid a franchise fee. However, as noted by Plaintiff, Corporations Code section 31005(a) expressly recognizes franchise fees paid either "directly or indirectly."

Plaintiff alleges he was required to pay Jim Talaga (Talaga) a deposit of \$25,000 and signed a promissory note in the amount of \$1.7 million dollars to purchase the membership interests in the franchise. Additionally, Plaintiff alleges that in January 2023, Defendant ARI, an affiliate of the Washington franchise, (common ownership with Defendant the Nordlund Trust) received approximately \$12,000 in franchise fees. And from January 1, 2023, through June 10, 2025, the Washington franchise allegedly paid \$424,000 in franchise fees to ARI. (FAC ¶¶ 64, 72.) Defendants argue payments to a third-party do not suffice. However, Release 3-F excludes only payments made to unaffiliated third parties that are not paid for the right to enter or remain in the business: "Any fee or charge which the franchisee is required to pay to the franchisor or an affiliate of the franchisor for the right to engage in business is a franchise fee regardless of the designation given to, or the form of, such payment." (Commissioner's Release 3-F; Cal Corporations Code §31005 (a) (3); Cal Corporations Code §31011.)

Whether or not Plaintiff's payment, in fact, were qualified third party payments involves factual determinations not appropriately made at the pleading stage. Similarly, whether or not a franchise-franchisee relationship, in fact, existed is a factual determination not made at the pleadings stage.

As for the second, third, fourth, and fifth causes of action, Defendant argues that there are insufficient allegations of a franchise relationship as well as fail to allege payment of a franchise fee. As set forth above, the Court finds the FAC's allegations to be sufficient at the pleading stage as to both contentions.

As for the sixth cause of action, Defendant argues that before 1/1/2023, California Corporations Code section 31306 pre-empted common-law claims based on misrepresentations covered by the California Franchise Investment Law (CFIL). (See *Samica Enters., LLC v. Mail Boxes Etc.* (C.D. Cal. 2008) 637 F. Supp. 2d 712, 721-22 (“[B]ecause Plaintiffs’ fraud claim appears to rest exclusively on alleged misrepresentations and omissions statutorily covered by the CFIL, and [Plaintiffs] cite no common law basis supporting the fraud recovery independent of the CFIL, section 31306 precludes Plaintiffs’ common law claims.”)).

However, Plaintiff alleges that “[o]n or about January 1, 2023, the sale of the Washington AR franchise to Colunga was concluded and effectuated by and through Defendants Nordlund, Schrader and ARI.” (FAC ¶61.) The legislature amended Section 31306 effective 1/1/2023, and Defendants do not argue that the current form of Section 31306 allows for preemption of fraud claims. Moreover, Plaintiff argues that Corporations Code section 31306 is retroactive: “Notably, the bill that amended CFIL Section 31306 also amended the CFRA and the CFIL. While Bus. & Prof. Code § 20041(c) of the CFRA was added to state that certain amendments apply only to franchise agreements “entered into, amended, or renewed on or after January 1, 2023,” the amendments to the CFIL contained no such limitation.” (Opp., 12: 21-26.)

After review of the applicable authority, the Court finds no preemption of Plaintiff's fraud claims by the CFIL. The Court also finds that Defendant's arguments related to the statute of limitations require factual determinations not properly made at the pleadings stage. This is similarly true as to the fifth cause of action.

Finally, the Court finds Plaintiff has standing to bring this claim. Defendants argue that Plaintiff lacks standing because he allegedly purchased his membership interest from Talaga

rather than directly from Defendants. However, Plaintiff alleges that Talaga was merely a sales intermediary between Defendants and Plaintiff. (See FAC ¶ 63.) Plaintiff alleges that in 2019, while Colunga was working and residing full time in California, Defendant Nordlund and Talaga approached Colunga and offered Colunga the opportunity to purchase the Washington franchise. (FAC ¶ 51.) Plaintiff alleges that from August of 2019 to November 2020, Talaga, Nordlund and Colunga discussed in great detail the structure of the opportunity, market concepts, team concepts, how and when the transmission would take place etc. Defendants Nordlund and Schrader allegedly actively vetted Colunga and advised Colunga about the purchase of the franchise. (FAC ¶ 52.)

Where the franchisor reserves discretion to approve or reject a transferee based on criteria beyond objective financial qualification, the franchisor is deemed to have participated in the sale for purposes of Corporations Code section 31101. Defendant Nordlund was the majority owner and manager of the franchise AR-WA LLC, and pursuant to the Franchise LLC Operating Agreement had the right to approve any franchise sale or transfer. (See Art 7 ¶7.2.1 of the Franchise LLC Operating Agreement). (FAC ¶55.)

Whether or not the various alleged participants in this business deal had the requisite involvement, contact, or oversight for Plaintiff to be deemed a participant is clearly a factual determination not appropriately made at this stage.

Based on the foregoing, Defendant's demurrer is overruled.

It is so
ordered.

Dated:
July , 2026

Hon. Jon R. Takasugi

Judge of the
Superior Court

Parties who intend to submit on this tentative must
send an email to the court at

by 4 p.m. the day prior as directed by the instructions provided on the court website at www.lacourt.org. If a party submits on the tentative, the party's email must include the case number and must identify the party submitting on the tentative.

If all parties to a motion submit, the court will adopt this tentative as the final order. If the department does not receive an email indicating the parties are submitting on the tentative and there are no appearances at the hearing, the motion may be placed off calendar. For more information, please contact the court clerk at (213) 633-0517.